why investors seek out promising fast growers and bid the stocks up, even when the companies are earning nothing at present—or when the earnings are paltry as compared to the price per share.

You can see the importance of earnings on any chart that has an earnings line running alongside the stock price. Books of stock charts are available from most brokerage firms, and it's instructive to flip through them. On chart after chart the two lines will move in tandem, or if the stock price strays away from the earnings line, sooner or later it will come back to the earnings.

People may wonder what the Japanese are doing and what the Koreans are doing, but ultimately the earnings will decide the fate of a stock. People may bet on the hourly wiggles in the market, but it's the earnings that waggle the wiggles, long term. Now and then you'll find an exception, but if you examine the charts of stocks you own, you'll likely see the relationship I'm describing.

During the last decade we've seen recessions and inflation, oil prices going up and oil prices going down, and all along, these stocks have followed earnings. Look at the chart of Dow Chemical. When earnings are up the stock is up. That's what happened during the period from 1971 to 1975 and again from 1985 through 1988. In between, from 1975 through 1985, earnings were erratic and so was the stock price.

Look at Avon, a stock that jumped from $3 in 1958 to $140 in 1972 as earnings continued to rise. Optimism abounded, and the stock price became inflated relative to earnings. Then, in 1973, the fantasy ended. The stock price collapsed because earnings collapsed, and you could have seen it coming. *Forbes* magazine warned us all in a cover article ten months before the collapse began.

And how about Masco Corporation, which developed the single-handle ball faucet, and as a result enjoyed thirty consecutive years of up earnings through war and peace, inflation and recession, with the earnings rising 800-fold and the stock rising 1,300-fold between 1958 and 1987? It's probably the greatest stock in the history of capitalism. What would you expect from a company that started out with the wonderfully ridiculous name of Masco Screw Products? As long as the earnings continued to increase, there was nothing to stop it.

Look at Shoney's, a restaurant chain that has had 116 consecutive quarters (twenty-nine years) of higher revenues—a record few companies could match. Sure enough, the stock price has steadily moved up. In those few spots where the price got ahead of the earnings, it promptly fell back to reality, as you can see in the chart.

The chart for Marriott, another great growth stock, tells the same story. And look at The Limited. When earnings stumbled in the late seventies, so did the stock. When earnings then soared, the stock soared as well. But when the stock got way ahead of earnings, as it did in 1983 and again in 1987, the result was a